

NIGERIA'S NEW INSURANCE REFORM LAW: RISKS, OPPORTUNITIES, AND WHAT BUSINESSES MUST DO NOW

How Strategic Regulatory Advisory Can Turn Compliance into Competitive Advantage

Nigeria's insurance sector is undergoing its most significant regulatory transformation in over two decades.

With the enactment of the Nigerian Insurance Industry Reform Act 2025 (NIIRA 2025), the Federal Government has introduced a comprehensive legal framework designed to strengthen the insurance industry, improve consumer confidence, enhance regulatory oversight, increase underwriting capacity, and align the sector with international best practices. The Act repeals the former Insurance Act 2003 and several related statutes, replacing them with a unified and modernized regulatory regime.

While much of the public discussion has focused on increased capital requirements for insurers, the implications of the new law extend far beyond insurance companies themselves. Every business operating in Nigeria—whether as an employer, contractor, lender, manufacturer, technology company, investor, developer, healthcare provider, or regulated entity—will increasingly feel the impact of the reforms.

The question is no longer whether businesses will be affected.

The question is whether they are prepared.

A New Regulatory Era

The Nigerian Insurance Industry Reform Act 2025 represents a deliberate effort by government and regulators to strengthen the resilience of the insurance sector while improving protection for policyholders and market participants. The legislation significantly expands the powers of the National Insurance Commission (NAICOM), introduces new prudential requirements, modernizes insurance classifications, strengthens governance obligations, and introduces a risk-based regulatory approach.

The reform is expected to reshape how insurers are licensed, supervised, capitalized, governed, and monitored.

For businesses purchasing insurance products, engaging insurers, or relying upon insurance-backed contractual arrangements, these changes are expected to influence market pricing, underwriting practices, claims management, policy structures, and risk allocation strategies.

The Recapitalization Revolution

Perhaps the most publicized aspect of the reform is the substantial increase in minimum capital requirements for insurance operators.

Under the new framework, life insurers are required to maintain a minimum capital base of ₦10 billion, non-life insurers ₦15 billion, composite insurers ₦25 billion, and reinsurers ₦35 billion, subject to applicable risk-

based capital requirements determined by NAICOM. Existing operators have been given a transition period to comply with the new thresholds.

The practical consequence is likely to be industry consolidation, mergers, acquisitions, capital raising exercises, restructuring initiatives, and a stronger emphasis on financial soundness across the sector.

For policyholders and businesses, stronger insurers generally translate into improved claims-paying capacity, greater market stability, and increased confidence in insurance-backed transactions.

Why Non-Insurance Businesses Should Pay Attention

Many companies mistakenly assume that insurance regulation concerns only insurance companies.

This assumption is increasingly incorrect.

The new regime is expected to have implications for:

- Employers required to maintain statutory insurance cover;
- Contractors engaged in public and private infrastructure projects;
- Financial institutions and lenders;
- Healthcare providers;
- Construction and real estate developers;
- Manufacturers and logistics operators;
- Energy and extractive industry participants;
- Technology and digital platform businesses;
- Foreign investors conducting due diligence on Nigerian operations.

As regulatory expectations increase, counterparties, lenders, investors, and government agencies will place greater emphasis on insurance compliance and risk management frameworks.

Businesses that fail to maintain required insurance coverage may encounter challenges in obtaining financing, securing contracts, satisfying regulatory requirements, or completing investment transactions.

The Emerging Compliance Opportunity

The most sophisticated organizations will not view the new insurance law merely as a compliance obligation.

They will view it as an opportunity.

Effective insurance planning can reduce operational risk, strengthen governance structures, improve financing prospects, support investor confidence, enhance contract negotiations, and protect enterprise value.

In an environment characterized by economic volatility, cybersecurity threats, regulatory enforcement, environmental risk, and increasing litigation exposure, insurance is becoming a strategic business tool rather than a mere administrative expense.

Organizations that proactively review their insurance portfolios, contractual obligations, risk allocation mechanisms, and regulatory exposure will be significantly better positioned than those that wait until an incident occurs.

The Regulatory Risk Challenge

The greatest danger for businesses is not necessarily non-compliance.

It is uncertainty.

Many organizations remain unclear about:

- Which insurance policies are legally mandatory;
- Which insurance requirements apply to their sector;
- Whether existing coverage is adequate;
- How insurance obligations interact with contractual risk allocation;
- How regulatory reforms affect ongoing projects and transactions;
- Whether counterparties maintain valid insurance protection;
- How evolving insurance regulations impact business operations.

These uncertainties create avoidable legal and commercial risks.

As regulators strengthen oversight, compliance failures that previously escaped attention may attract greater scrutiny.

Beyond Compliance: Building Resilient Businesses

The organizations that will benefit most from the new insurance landscape are not necessarily those that purchase the most insurance.

They are the organizations that understand risk best.

The Nigerian Insurance Industry Reform Act 2025 marks the beginning of a more sophisticated insurance market. It signals a future in which risk management, governance, transparency, and financial resilience become increasingly important competitive advantages.

Businesses that embrace this reality early will be better positioned to attract investment, secure financing, protect assets, manage disputes, and achieve sustainable growth.

JOPAD Advisory

Regulatory reform should never be viewed solely as a compliance burden.

It should be viewed as a strategic opportunity to strengthen the foundations of a business.

As Nigeria's insurance sector enters a new era, organizations should undertake immediate reviews of their insurance obligations, regulatory exposure, contractual arrangements, and enterprise risk management frameworks.

Those who prepare early will not merely remain compliant.

They will gain a measurable competitive advantage.

JOPAD – Strategic Legal Guidance for Regulated Businesses.